

especially when enterprises need large teams to modernise data foundations,” says Ganesan. That could mean reduced outsourcing and a shift in focus to premium tasks.

THE HUMAN-AGENT RATIO

As business shifts in this manpower intensive sector, Ramkumar Ramamoorthy, Partner of tech advisory firm Catalinics and former CMD of Cognizant India, says, “The allocation of work will be between people, robots, and agents. In the old model, the HR’s job was to recruit, train, deploy and retain humans. In the new model, leaders will manage a blended workforce of humans and AI agents—some operating 24x7, some needing ‘human-in-the-loop’ oversight.”

“AI’s impact so far has been cost absorption and margin protection, not revenue acceleration,” says Gaurav Vasu, CEO and founder of UneathInsight. Indian IT firms have been able to broadly sustain margins over the past two years despite wage inflation and higher onshore hiring. AI-led efficiencies are offsetting cost pressures as revenue-per-employee growth has been modest.

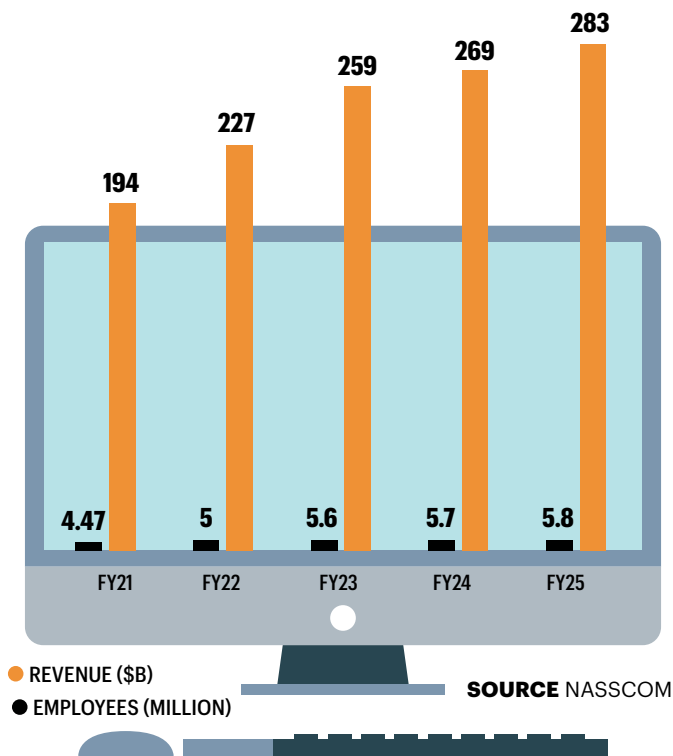
From FY19 to FY25, the revenue per employee at the top five IT firms grew at 0.55% CAGR, says UneathInsight. For mid-tier IT companies, this number was 3.4%. “AI is protecting margins today. Real monetisation is still ahead,” says Vasu.

NOT QUITE Y2K

The next chapter won’t look like Y2K, where demand spiked quickly and required manpower intensive execution. This cycle, says Vasu, is layered atop mature systems and deep Cloud penetration. It’s “about efficiency, intelligence, and automation,” and it will be gradual—structural, not a short boom. Besides, says Ramamoorthy, “Y2K was a technology problem. AI is a foundational shift, akin to railways, electric-

IT SERVICES: CAN GROWTH PICK UP?

● Revenue is up just 45% since FY21



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REVENUE PER EMPLOYEE

● AI has helped IT firms offset cost pressures as revenue-per-employee growth has been modest

